The Claw Back

S&P erased a 1.5% gap-down to close +0.09%. WTI surged past $110. Iran–Oman Hormuz protocol lifted equities off lows. 100% pharma tariffs announced at the bell.

THE SESSION

Thursday opened as if the morning brief's worst-case scenario had arrived. S&P 500 futures had fallen 1.3% overnight after President Trump's primetime address promised weeks of continued strikes against Iran, and the index gapped down 1.5% at the open. The Dow shed more than 600 points in the first minutes. WTI crude surged past $113 intraday—briefly touching levels not seen since 2022—as the two-day ceasefire rally evaporated.

Then the reversal. Mid-session, Iranian state media reported that Tehran is working with Oman on a protocol to monitor ship passage through the Strait of Hormuz. The headline was enough. Equities ripped off their lows, with the S&P clawing from −1.5% all the way back to +0.09% at the close. The Dow finished down just 61 points, or −0.13%. The Nasdaq eked out +0.18%. The Russell 2000 led at +0.70%, a small-cap bid that typically signals positioning for domestic resilience over global exposure.

Sector leadership told the story beneath the index level. Energy, utilities, and real estate led—the trio you back when pricing for prolonged conflict and elevated oil. Consumer discretionary lagged, a direct read on the margin squeeze from $4.50 gasoline and the psychological drag of a war economy heading into a long weekend. WTI settled near $110, up roughly 10% on the day. Brent held above $108. The oil market is pricing continuation, not conclusion.

In the final hour, the White House announced 100% tariffs on patented pharmaceutical imports under Section 232, with carve-outs for companies that have signed MFN pricing agreements or committed to domestic manufacturing. The administration simultaneously adjusted steel and aluminum derivative tariffs to 25%. Neither announcement materially moved equity markets at the close, but the pharma order adds another layer of policy complexity heading into the long weekend.

IOWN Tactical: The morning brief asked whether the session would confirm or deny the overnight selloff. The answer was decisive—equities rejected the lows and reclaimed the flat line. The portfolio enters a three-day weekend carrying event risk from Friday's payrolls and Monday's April 6 strike deadline, but the construction is designed for exactly this kind of gap.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

MARA +8.33% GROWTH PORTFOLIO

Bitcoin miners rebounded sharply as BTC stabilized above $66,700 despite broader crypto weakness. Marathon's hash rate expansion and improving cost structure continue to attract dip buyers when Bitcoin holds key levels.

AMD +3.47% GROWTH PORTFOLIO

Led the semiconductor recovery after the open's tech washout. Shares rallied from an intraday low near $200 to close at $217.50. Q1 earnings due April 28 with $9.8B revenue guidance. The Helios AI rack launch in H2 remains a key catalyst.

ORI +1.97% DIVIDEND STRATEGY

Old Republic continued its steady outperformance as investors rotated into insurance names with predictable cash flows and low geopolitical sensitivity.

ATO +1.88% DIVIDEND STRATEGY

Utilities led Thursday's session, and Atmos Energy benefited as rate-sensitive names attracted bids with the 10-year yield easing. Gas distribution remains a stable demand profile regardless of the war's trajectory.

FTNT +1.70% GROWTH PORTFOLIO

Fortinet gained as cybersecurity demand remains elevated amid geopolitical uncertainty. The sector has emerged as a defensive pocket within tech during the conflict.

DECLINERS

ETHA –3.28% DIGITAL ASSET ETF

Ethereum tracked broader crypto weakness as risk appetite contracted. ETH has underperformed BTC consistently during the conflict, reflecting the market's preference for hard-cap digital assets during macro stress.

CAT –1.79% DIVIDEND STRATEGY

Caterpillar gave back Wednesday's 3.09% gain as the industrial cycle narrative shifted from ISM expansion to margin compression from surging oil and raw material costs. The reversal highlights the two-sided nature of the stagflation trade for capital goods names.

HOOD –1.73% GROWTH PORTFOLIO

Robinhood declined as BofA flagged potential for lower retail engagement amid the conflict's uncertainty. The broker's crypto trading volumes are also pressured by the digital asset downturn.

IBIT –1.73% DIGITAL ASSET ETF

Bitcoin ETF tracked the 1.9% decline in BTC. Digital assets have decoupled from gold during the conflict, underperforming as an inflation hedge relative to physical commodities.

LRCX –1.61% DIVIDEND STRATEGY

Lam Research fell after House lawmakers introduced legislation to crack down on chipmaking tool exports to China. The bill targets LRCX, AMAT, and KLAC directly, reviving a revenue headwind the market had partially priced out.

HOLDINGS NEWS

BKH: Merger vote approved. Shareholders of both Black Hills Corp. and NorthWestern Energy voted today to approve their all-stock merger, forming Bright Horizon Energy Corporation. The combined regulated utility will serve approximately 1.35 million customers across eight states. The transaction remains subject to federal and state regulatory approvals and is expected to close in H2 2026. BKH rose 1.34% on the session.

COIN: Bernstein cuts price target, maintains Outperform. The firm cited near-term pressure on trading volumes during the conflict but reiterated conviction in Coinbase's structural positioning as institutional crypto adoption accelerates. Separately, a Coinbase/EY-Parthenon survey found 73% of institutional investors plan to increase crypto allocations in 2026.

LMT: Defense spending debate intensifies. Analysts remain divided on the durability of defense contract tailwinds from the Iran campaign. Lockheed rose 0.83% as the administration's FY2027 budget, expected Friday, is framed around a significant defense buildup.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✗ TRAIL

+0.13%

vs. DVY +0.42% | IWS +0.50%

GROWTH PORTFOLIO ✓ BEAT

+0.37%

vs. IUSG +0.04%

YEAR-TO-DATE

Dividend +5.85% vs DVY +7.45% / IWS +3.55%
Growth –1.69% vs IUSG +7.05%